

a microcap index fund would have increased U.S. returns by 0.8 percent with a small increase in risk. However, the returns shown in [Figure 6-4](#) are theoretical because there was no microcap index available in 1980. That's not the case today. You can now purchase a low-cost no-load total stock market index fund and a microcap index fund, although I admit that there are very slim selections in the microcap fund category.

The more than 3,500 microcap stocks that trade actively on U.S. exchanges count for only 3 percent of the value of the entire listed stock market. That is much less than the market capitalization of Microsoft or Exxon Mobil. Accordingly, the performance of any single microcap company on total market performance is about zero, and the performance of the entire microcap market on the performance of the overall U.S. market is close to zero. Overweighting microcap stocks in a portfolio as a separate U.S. stock category has had diversification benefits in the past and may add diversification benefits in the future.

Now the bad news: It is very difficult to find a true, low-cost, broadly diversified microcap fund. In fact, there really aren't any. This is a very difficult market to index. There are a few funds that have "microcap" in their title, but they are microcap-only funds. They invest in small-cap and midcap stocks.

Some actively managed microcap funds may be worth considering, but many are linked to a high sales commission or an exorbitant management fee. Still others are closed to new investors. Sometimes a closed fund will reopen for a short period of time, and you will need to have cash ready to invest when it does. This means monitoring certain funds for potential opening dates.

Make sure that the weighted market weight of the companies in which you have chosen microcap funds is no higher than \$200 million and that the fund is widely diversified in at least 300 companies. Also ensure that the total expense is below 1 percent and that there is no commission for buying or selling shares. Good luck!

Performance by Style

The practice of categorizing stocks into style categories is as old as stock trading itself. Years ago, investors mainly used dividend yield to categorize growth and value stocks. Stocks paying high dividends were considered value plays, while stocks paying low dividends were growth plays. As more